INTERNAL POLICY · STRATEGIC PROCUREMENT

Purchasing and Invoice Approval Policy

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Owner	Head of Strategic Procurement

Approved by: Markus Vellinger, CEO, and Dr. Anja Klee, CFO

1. Purpose and Scope

This guideline governs the procurement of production materials, operating supplies and indirect materials by Quentrion Elektronik GmbH and the subsequent verification and approval of supplier invoices. It applies to all employees involved in requisitioning, ordering, receiving goods, and checking or approving invoices, at all sites of the company.

Where a framework agreement (master supply agreement, MSA) exists with a supplier, the terms of that agreement take precedence over the supplier's offers and standard terms. Purchasing staff must check for an applicable framework agreement before every order and must quote its number on the purchase order.

2. Approval Thresholds for Purchase Orders and Invoices

Purchase orders and supplier invoices must be approved in accordance with the following thresholds. The decisive value is the **gross** amount of the order or invoice in EUR. Splitting an order or invoice in order to stay below a threshold is prohibited.

Gross amount	Required approval	Form of approval
up to 2,500.00	Team lead of the requesting cost centre	Workflow approval
2,500.01 – 15,000.00	Head of Strategic Procurement	Workflow approval
15,000.01 – 75,000.00	Head of Strategic Procurement and CFO	Workflow, two signatures
above 75,000.00	Both managing directors	Board memo + workflow

Approvals are given in the ERP workflow; signatures on paper are accepted only during system outages and must be entered into the system within two working days.

3. Three-Way Matching Requirement

No supplier invoice for goods may be released for payment unless it has been successfully matched against three documents (three-way match):

1. the **purchase order** issued by the Purchasing Department (item, quantity, agreed unit price);
2. the **goods receipt** posted by the central warehouse (quantity actually received, referencing the supplier's delivery note); and
3. the **supplier invoice** (invoiced item, quantity, unit price, line totals, VAT and gross total).

In addition, the agreed prices and commercial terms of the applicable MSA (price list, price lock, surcharge rules and payment terms) must be checked. Every invoice must reference the purchase order number; invoices without a valid purchase order reference are returned to the supplier.

Line totals, net total, VAT and gross total of the invoice must be recalculated. Arithmetic differences are treated as discrepancies regardless of the amount.

4. Tolerance Rules

Check	Tolerance	Action if exceeded
Unit price invoice vs. purchase order / MSA price list	**0.00 EUR (zero tolerance)**	Block invoice, clarify with supplier via Purchasing
Surcharges, fees or additional charges not pre-approved in writing by Purchasing (incl. fuel and energy surcharges)	**Zero tolerance**	Block invoice, request credit note
Invoiced quantity vs. quantity received	Invoiced quantity must not exceed received quantity	Block invoice, clarify with warehouse and supplier
Line total, net total, VAT and gross total (recalculation)	0.00 EUR	Block invoice, request corrected invoice
Missing purchase order, delivery note or goods receipt	Not permitted	Hold invoice until documents are complete

Unapproved surcharges and price deviations are never paid "for the sake of simplicity", even if the amount is small. Approval of a surcharge exists only if a written approval of the Purchasing Department for the specific order is on file.

5. Invoice Approval Responsibilities

Role	Responsibility
Strategic Procurement	Owns supplier framework agreements and price lists, issues purchase orders, is the only function entitled to approve surcharges in writing, clarifies price discrepancies.
Goods-In / Central Warehouse	Counts and inspects deliveries (incl. ESD and moisture-sensitive packaging), posts goods receipts referencing the delivery note, documents shortfalls.
Accounts Payable	Registers invoices, executes the three-way match and recalculation, blocks invoices with discrepancies and routes them to Strategic Procurement.
Cost centre approver	Approves invoices within the thresholds of section 2 once the three-way match is clean.
Head of Strategic Procurement	Decides on escalated discrepancies; documents any exception to this policy in writing.

The person who issued a purchase order may not be the sole approver of the invoice relating to it (four-eyes principle). Approvers confirm with their approval that the three-way match and the MSA check have been completed without discrepancy or that every discrepancy has been resolved and documented.

6. Early-Payment Discounts and Payment Runs

Early-payment discounts agreed in framework agreements must be used whenever an invoice has been approved within the discount period. Accounts Payable schedules approved invoices for the next payment run (every Wednesday) before the discount deadline. Lost discounts caused by late approval are reported monthly to the Head of Purchasing.

7. Documentation and Retention

All documents of the three-way match, approvals, clarification notes and credit notes are filed with the invoice in the document management system and retained in accordance with the statutory retention periods (ten years for invoices and accounting records).